

ANSWERS OF MODEL TEST PAPER 3
PAPER 6B: STRATEGIC MANAGEMENT

PART I

1. (A) (i) (c) (ii) (c) (iii) (d) (iv) (b) (v) (a)
1. (B) (i) (c) (ii) (b) (iii) (d)

PART II

1. (a) In this scenario, the most appropriate strategic approach to help Dharam Veer Singh formulate a robust and coherent business roadmap aligned with his vision for sustainable growth would be to focus on values or a value system. Emphasizing values such as quality, integrity, and sustainability can guide decision-making and attract like-minded investors and clients. By embedding these values into the company's culture and operations, Dharam can differentiate his business in the market, ensuring long-term success and structural longevity in construction projects. This value-driven strategy will also help in building a strong brand reputation and fostering trust among stakeholders.
- (b) Considering Porter's generic strategies, there are three different bases: cost leadership, differentiation, and focus. Ravi and Arjun are contemplating pricing for their product.
- Ravi is trying to have a low price and high volume, thereby aiming for cost leadership. Cost leadership emphasizes producing standardized products at a very low per unit cost for consumers who are price sensitive.
- Arjun desires to create perceived value for the product and charge higher prices. He is trying to adopt differentiation. Differentiation is aimed at producing products and services considered unique industry-wide and directed at consumers who are relatively price insensitive.
- (c) XYZ Corporation is shifting to a network structure. This is a newer and more radical organizational design, sometimes referred to as a "non-structure" because it virtually eliminates in-house business functions and outsources many of them. An organization structured in this way is often called a virtual organization, composed of a series of project groups or collaborations linked by constantly changing, non-hierarchical, cobweb-like networks.
- The network structure becomes most useful when a firm's environment is unstable and expected to remain so. Under such conditions, there is a strong need for innovation and quick response. Instead of having salaried employees, the company may contract with individuals for specific projects or periods. Long-term contracts with suppliers and distributors replace services the company might otherwise provide through vertical integration. This structure provides increased flexibility

and adaptability to cope with rapid technological change and shifting patterns of international trade and competition.

2. (a) Four specific criteria of sustainable competitive advantage that firms can use to determine those capabilities that are core competencies. Capabilities that are valuable, rare, costly to imitate, and non-substitutable are core competencies.
- i. **Valuable:** Valuable capabilities are the ones that allow the firm to exploit opportunities or avert the threats in its external environment. A firm created value for customers by effectively using capabilities to exploit opportunities. Finance companies build a valuable competence in financial services. In addition, to make such competencies as financial services highly successful requires placing the right people in the right jobs. Human capital is important in creating value for customers.
 - ii. **Rare:** Core competencies are very rare capabilities and very few of the competitors possess these. Capabilities possessed by many rivals are unlikely to be sources of competitive advantage for any one of them. Competitive advantage results only when firms develop and exploit valuable capabilities that differ from those shared with competitors.
 - iii. **Costly to imitate:** Costly to imitate means such capabilities that competing firms are unable to develop easily.
 - iv. **Non-substitutable:** Capabilities that do not have strategic equivalents are called non-substitutable capabilities. This final criterion for a capability to be a source of competitive advantage is that there must be no strategically equivalent valuable resources that are themselves either not rare or imitable.
- (b) XYZ Electronics has opted to implement a Stability strategy. Stability strategies are designed to safeguard the existing interests and strengths of a business. This involves pursuing established and tested objectives, continuing on the chosen path, and maintaining operational efficiency. A stability strategy is pursued when a firm continues to serve the same or similar markets and deals in the same products and services. Although few functional changes are made in the products or markets, it is not a 'do nothing' strategy. This strategy is typical for mature business organizations. Additionally, some small organizations frequently use stability as a strategic focus to maintain a comfortable market or profit position.

Major reasons for a Stability strategy include:

- A product has reached the maturity stage of the product life cycle.
- The staff feels comfortable with the status quo as it involves fewer changes and less risk.
- It is opted for when the environment in which an organization operates is relatively stable.

- Expansion may be perceived as threatening and not advisable.
- After rapid expansion, a firm might want to stabilize and consolidate itself.

3. (a) Yummy foods are proactive in its approach. On the other hand, Tasty Food is reactive. Proactive strategy is planned strategy whereas reactive strategy is adaptive reaction to changing circumstances. A company's strategy is typically a blend of proactive actions on the part of managers to improve the company's market position and financial performance and reactions to unanticipated developments and fresh market conditions.

If organisational resources permit, it is better to be proactive rather than reactive. Being proactive in aspects such as introducing new products will give you advantage in the mind of customers.

At the same time, crafting a strategy involves stitching together a proactive/intended strategy and then adapting first one piece and then another as circumstances surrounding the company's situation change or better options emerge-a reactive/adaptive strategy. This aspect can be accomplished by Yummy Foods.

- (b) Change management is essential during digital transformation to ensure the success of the process. Here are some key strategies to navigate change effectively:

- **Specify the digital transformation's aims and objectives:** Clearly defining the intended outcomes and objectives helps ensure everyone is aligned and working towards the same goals.
- **Always communicate:** Regular and transparent communication is crucial to help people understand the goals of digital transformation and how it will impact various stakeholders, including employees, clients, and other parties.
- **Be ready for resistance:** Change, even if beneficial, can be met with resistance. Having a strategy in place to address resistance is important for overcoming challenges and ensuring a smooth transition.
- **Implement changes gradually:** Instead of making all changes at once, gradual implementation allows individuals to adapt to new ways of doing things without feeling overwhelmed by too much change simultaneously.
- **Offer assistance and training:** Providing support, guidance, and training for employees is crucial as they navigate new procedures, software applications, and other aspects of digital transformation.

In conclusion, meticulous planning and effective change management are vital for the successful completion of digital transformation projects. Without proper change management, these efforts are more likely to fail, and organizations can enhance the integration of new digital systems by anticipating and managing the necessary changes.

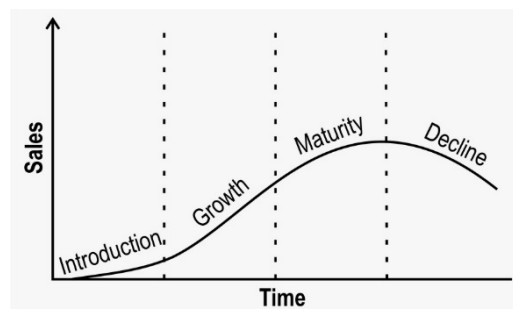
4. (a) Product Life Cycle is an important concept in strategic choice and S-shaped curve which exhibits the relationship of sales with respect of time for a product that passes through the four successive stages.

The first stage of PLC is the introduction stage in which competition is almost negligible, prices are relatively high and markets are limited. The growth in sales is also at a lower rate.

The second stage of PLC is the growth stage, in which the demand expands rapidly, prices fall, competition increases, and market expands.

The third stage of PLC is the maturity stage, where in the competition gets tough and market gets stabilized. Profit comes down because of stiff competition.

The fourth stage is the declining stage of PLC, in which the sales and profits fall down sharply due to some new products replacing the existing product.



Product Life Cycle

PLC can be used to diagnose a portfolio of products (or businesses) in order to establish the stage at which each of them exists. Particular attention is to be paid on the businesses that are in the declining stage. Depending on the diagnosis, appropriate strategic choices can be made. For instance, expansion may be a feasible alternative for businesses in the introductory and growth stages. Mature businesses may be used as sources of cash for investment in other businesses which need resources. A combination of strategies like selective harvesting, retrenchment, etc. may be adopted for declining businesses. In this way, a balanced portfolio of businesses may be built up by exercising a strategic choice based on the PLC concept.

- (b) The business environment consists of both the macro environment and the micro environment. Following are the differences between the two:
- The micro environment refers to the forces that are very close to the company and affect its ability to do routine functions. Macro environment refers to all forces that are part of the larger periphery and distantly affect organization and micro environment.
 - Micro environment includes the company itself, its suppliers, marketing intermediaries, customer markets and competitors. Whereas macro environment includes demography, economy, natural forces, technology, politics, legal and socio-cultural.

- The elements of micro environment are specific to the said business and affects it's working on short term basis. The elements of macro environment are general environment and affect the working of all the firms in an industry.

OR

Differences between Operational Control and Management Control are as under:

- (i) The thrust of operational control is on individual tasks or transactions as against total or more aggregative management functions. When compared with operational, management control is more inclusive and more aggregative, in the sense of embracing the integrated activities of a complete department, division or even entire organization, instead of mere narrowly circumscribed activities of sub-units. For example, procuring specific items for inventory is a matter of operational control, in contrast to inventory management as a whole.
- (ii) Many of the control systems in organizations are operational and mechanistic in nature. A set of standards, plans and instructions are formulated. On the other hand, the basic purpose of management control is the achievement of enterprise goals – short range and long range – in an effective and efficient manner.